

Tech and dev spend seems to be accelerating — what's driving it? And does the implied Q4 guide suggest further acceleration, and is that slate-driven or something else?

- Tech & dev spend up sharply year-over-year, funding GenAI capabilities across the core member experience, content production, and the full ad lifecycle (buying, delivery, measurement)
- Framed as a scale advantage unique to Netflix — able to lean into innovation spend while still expanding margin; full-year margin guide of 31.5% was maintained (Q2 actually came in slightly ahead)
- Q4 revenue guide implies growth in the mid-teens reported (~12% FX-neutral), with continued small contributions from advertising and pricing

With about 45% penetration of the ~800 million household TAM cited, is it fair to back into a subscriber count in the 345–350 million range?

- Declined to confirm or imply a specific subscriber number — the company no longer reports membership figures
- Pointed instead to disclosed mix: roughly 25% of revenue growth is coming from advertising, with the other ~75% from subscription/membership growth and pricing
- That mix goal was set a few years ago and has now been delivered; focus going forward is sustaining healthy growth across those levers, not a membership headcount

Any openness to more formal bundling with other streaming services, or building an actual "channel store" to compete with Amazon/YouTube?

- Openness exists, but only with the right partner and in a way that reinforces the existing strategy of curated discovery and distribution — not a signal of a broader strategy shift
- Cited the TF1 partnership as the clearest recent example: it's working because Netflix's personalization and discovery engine helps partner content reach larger, more engaged audiences than the partner could reach alone
- No new partnerships to announce; nothing should be read into the TF1 example beyond "we're open to selective deals that work for members and partners"

How do you think about the size, timing, and discipline of capital allocation to buybacks — especially given the stock has fallen well below recent repurchase prices, an issue peers have been criticized for?

- Explicitly rejected the idea of trying to "time" the stock — repurchases follow a disciplined, dollar-cost-averaging approach using excess cash rather than attempting market timing
- Confidence is rooted in long-term execution and business value creation, not short-term share price moves
- Share count has been declining for several years, which management views as the right long-term outcome for investors regardless of near-term price volatility

How do you think about pricing evolution over time given the current good/better/best structure — any color on a potential free, ad-supported tier?

- Pricing today already spans roughly \$1–2 for mobile-only plans in some markets up to ~\$35 for premium ad-free tiers globally

- Good/better/best is a reasonable framework but doesn't cap them at exactly three tiers; intent is to keep expanding accessibility at the low end and value at the high end
- A sufficiently scaled ad business was described as a prerequisite for ever considering a free tier; nothing to announce currently, but monetizing "fandom" and highly engaged viewers is seen as a long-term opportunity

What drove the decision to move the engagement/view-hours report from quarterly to annual?

- Hoped peers would adopt similar disclosure to benefit the industry's transparency overall; that didn't happen
- Underestimated how much outsized focus the market would place on this single hours metric relative to everything else in the letter
- View hours and spend aren't linearly related (e.g., live and kids' programming each represent roughly 5% of content budget despite very different shares of total hours) — moving it off earnings day reduces the disproportionate focus while still providing more disclosure annually than any competitor

Given live events drove 6 of the top 10 member-acquisition days, why not lean in even harder on live sports?

- Live content is disproportionately valuable for acquisition relative to its share of hours, which is why it gets outsized investment relative to its viewing share
- Approach is a portfolio/"eventizing" strategy rather than acquiring full-season sports packages — deliberately different from traditional broadcasters chasing full league rights
- Netflix doesn't need full seasons of sports to grow healthily; the strategy is to pick live properties that fit the member base, remain accessible, and preserve margin discipline

Is retention or acquisition the bigger challenge as you think about the top of the funnel?

- Pushed back on the framing that there's a "problem" to solve — retention is already best-in-class, and normal subscriber churn/rejoining is expected at Netflix's scale
- Growth is happening simultaneously across membership, pricing, and advertising, with no single acquisition/retention bottleneck
- Strategy varies market by market (e.g., ad-tier used as a penetration tool in some countries) rather than a one-size-fits-all global approach

Would you consider spending meaningfully more on content — bigger bets, more top talent — even if it meant giving up near-term margin for long-term health?

- Pointed to a long track record of calculated risk-taking (first to buy full-season straight-to-series rights, became the largest producer of original series/film globally, expanded into live in ~4–5 years to over 5% of content budget)
- No plans to pause margin expansion to chase incremental content spend — investment continues, but within a framework of steady, responsible margin growth rather than a step-change
- Framed it as "both/and," not "either/or" — they take content risks constantly, but always inside a managed operating-margin target

Is advertising margin-accretive to overall operating margin today, and how much can ads contribute to margin expansion as the business scales?

- Advertising (~6% of revenue) is margin-accretive today but not yet a major driver of overall margin expansion given its still-small size
- Expect ads to become a larger share of the revenue mix and more profitable over time, adding incrementally to margin — but not framed as a "silver bullet"
- The bigger margin driver remains content spend growing slower than revenue; Netflix does not manage or disclose a separate ad-segment margin, only a consolidated global margin

Any color on the opportunity to scale unique branded-IP/brand-integration experiences (e.g., Olympics-style IP tie-ins), and on the Omnicom partnership?

- GenAI is making brand placement within Netflix IP more efficient and scalable — previously manual, now can be done more programmatically and cost-effectively
- Still early — described as in the "walking" phase of a "crawl, walk, run" progression, so not viewed as a near-term financial needle-mover, but a promising incremental growth area
- Declined to give specifics on the Omnicom or other agency partnerships beyond confirming ongoing work with agencies as part of building out programmatic ad rails (now including Amazon and Yahoo alongside Trade Desk)

What are the levers to reaccelerate FX-neutral revenue growth given the deceleration trend, and are current tech/dev and marketing spend growth rates a new run-rate?

- Current FX-neutral revenue growth (~13–14%) was characterized as "solid, healthy" — management pushed back on the idea that reacceleration is a stated goal or that deceleration signals a maturity problem
- Growth opportunity remains spread across membership, pricing, and advertising, all still seen as levers with room to run
- Tech/dev spend is intentionally elevated this year due to parallel build-outs (GenAI, ad tech, games) and should taper as productivity gains from AI-assisted coding kick in; marketing growth is similarly being boosted by scaling the ad sales team, which should also moderate over time — neither is viewed as the new steady-state growth rate

Can you give color on the UK pricing dynamic and the outlook for advertising heading into next year?

- UK revenue growth (~14%) was flattered/depressed by price-increase timing — increases phase in gradually as individual billing cycles renew, so the quarter doesn't reflect a full run-rate; underlying growth is still healthy
- Declined to give formal 2027 ad guidance but expressed confidence based on strong global upfronts and international scaling, on top of the plan to roughly double ad revenue to \$3B this year
- Growth areas cited: expanding programmatic access (now including Amazon and Yahoo beyond Trade Desk) and building out SMB/self-serve advertising, while acknowledging the advertiser base still skews toward larger brands today

Can you reframe the engagement-versus-revenue debate — are you confident you can reaccelerate view-hours growth above 2% at current spending levels?

- Explicitly said Netflix isn't optimizing for raw time spent — it's optimizing for business impact, using live as the clearest example of content that generates fewer hours but disproportionate acquisition, ad revenue, and pricing power
- 2% hours growth was not characterized as "a problem" given healthy double-digit revenue and ad growth
- Ongoing focus on improving quality (cited animation quality improving dramatically over ~7 years) and variety (e.g., early-stage video podcasts) across genres and countries, rather than chasing hours growth directly

Are ad fill rates a structural ceiling, or is there more room to run — and how does your ad tech compare to competitors?

- Fill rates still ramping and vary by market maturity; not viewed as structurally capped
- Prioritizing healthy fill (protecting effective CPMs) rather than maximizing fill at the expense of price
- Confident in building best-in-class ad tech over time, though declined to comment specifically on competitors' capabilities

On the magnitude of tech spend and pulled-forward investment — what's the expected timeline and return on that spend?

- Pointed to concrete evidence of returns already showing up: ~2 points of margin expansion this year alongside 13–14% revenue growth
- Cited the ad business (scaling to a \$3B run-rate within roughly six years from a standing start) and live programming (from nothing ~4–5 years ago to over 5% of content budget and driving several of the biggest member-acquisition days) as proof points
- Framed current elevated spend as "startup costs" from building multiple capabilities in parallel — expects core tech/dev spend to keep growing slower than revenue over time as newer initiatives mature

How do viewing trends vary by region given different lifecycle stages, and how is India progressing?

- Doesn't break out view hours by region specifically, but noted more mature markets are moving into the back half of the adoption curve, and some countries structurally watch less television than the U.S. regardless of penetration stage (U.S. is an outlier in overall TV consumption)
- View hours are growing in all regions except a slight dip in the UK, attributed to a tough comp against a major global hit release the prior year rather than any structural issue
- India was described as performing very well — a major local film franchise among the biggest ever on the platform, an expanding multi-language original slate, strong first-half 2026 membership and satisfaction trends, and a much larger addressable market today (roughly 150 million connectable households) than in Netflix's early years there